

OUTLOOK

Don't real estate prices always go up? That is what we hear, and it is true most of the time, simply as a consequence of demographics. However, the relative performance of real estate during financial bubbles, coupled with its extreme illiquidity in downtrends, makes property by far the worst market in which to speculate when the monetary cycle, however briefly, turns to deflation. According to the Fibonacci time progression cited above, that time is now.

Once the glow of the current optimism wears off and the first earnest sellers appear, the bear market will be underway, and this time, there will be no turning back. If the history of property manias over the past two hundred years is any guide, and if the aftermath of this one is anything like the others, ultimately real estate values will fall an average of 90% from peak value, and not a few properties will fall 99%. The buildup in real estate values into the stock market peak of Supercycle wave (I) in the mid-1830s and of Supercycle wave (III) in the late 1920s resulted in devastating crashes. Figure 20-1 suggests that the rise in property values since the 1940s is capping a rise of *one larger degree*, in concert with the higher degree crest in the stock market. If the count shown therein is correct, California farmland prices, and by extension most property prices around the nation, will return to the values of the 1920s to 1940s in dollar terms.

This forecast may appear outrageous (as did "Dow 3700" thirteen years ago), but there is plenty of historical precedent for it, even in more recent years. In 1974, some REITs that had topped out near 100 two years earlier could be bought for $\frac{1}{8}$. All it took for that collapse was a medium-sized bear market and a recession. Given anything like the scenario outlined in Chapters 13 and 14 occurring, there is no doubt that many REITs coveted by investors today will be de-listed from the stock exchange by the end of the bear market.

The outlook for all other markets covered in this book have implications for real estate. If stocks fall, people will have fewer funds to invest in property. If bonds resume their fall, interest rates will rise again, making it more difficult for people to finance real estate by borrowing. A fall in gold and commodities will reflect a decline in the value of all physical things, including land. Finally, if the economy enters a major contraction, it will unquestionably impact people's ability and inclination to buy property. So real estate